

Accounting Business and Society

–Accrual Accounting and Income

WEEK3

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Key concepts

- 01 Cash-basis vs Accrual basis accounting
- 02 Adjusted Entries
- 03 Adjusted Trial balance and Financial statement

Cash Accounting vs Accrual Accounting



Accrual Accounting

- Records impact of transactions when they occur
- Required by Generally Accepted Accounting Principles (GAAP)
- Records:
 - Revenue when earned
 - Expenses when incurred

Cash Accounting vs Accrual Accounting

Cash-Basis Accounting

- Records only cash transactions
 - Cash receipts
 - Cash payments
- Ignores important information
- Results in incomplete financial statements
- Only used by the smallest businesses

Cash Accounting vs Accrual Accounting

- **Accrual accounting** records cash transactions, such as:
 - Collecting cash from customers
 - Receiving cash from interest earned
 - Paying salaries, rent, and other expenses
 - Borrowing money
 - Paying off loans
 - Issuing stock

Cash Accounting vs Accrual Accounting

- **The Time-Period Concept**

- Accounting information is reported at regular intervals
- Basic accounting period is one year
- Around 60% of large companies use the calendar year from January 1 through December 31
- A fiscal year may end on a date other than December 31
- Companies also prepare financial statements for interim periods

Cash Accounting vs Accrual Accounting

The Revenue Principle

- Deals with two issues:
 - When to record (recognize) revenue
 - What amount of revenue to record

Revenue is recognized when the business transfers promised goods or services to a customer in an amount that reflects the cash (or fair market value of other consideration) that the entity expects to receive in exchange for those goods or services.

Cash Accounting vs Accrual Accounting

The Expense Recognition Principle

- Includes two steps:
 - Identify all expenses incurred during the period
 - Measure the expenses and recognize them in the same period in which any related revenues are earned
- To recognize an expense along with related revenues means to subtract expenses from related revenues to compute net income or net loss.

Adjusted Entries

Adjust the accounts



Categories of Adjusting Entries

- **Deferrals**
 - An adjustment for payment of an item or receipt of cash in advance.
- **Accruals**
 - The opposite of a deferral.
- **Depreciation**
 - Allocates the cost of a plant asset to expense over the asset's useful life.

Deferrals-----Deferred Revenue

Unearned Service Revenue

- Receipt of cash before earning the revenue
- Creates a liability



Deferrals-----Deferred Revenue

Suppose Disneyworld Resort engages Alladin Travel, paying them commissions in advance to book clients in Disney resort hotels. Assume Disney pays Alladin \$400 monthly, beginning immediately. Alladin collects the first amount on June 15.

A1						
	A	B	C	D	E	F
1	Jun 15	Cash	400			
2		Unearned Service Revenue		400		
3		<i>Received cash for revenue in advance.</i>				
4						

Unearned Service Revenue		
	Jun 15	400

Deferrals-----Deferred Revenue

During the last 15 days of the month, Alladin Travel books four clients into Disneyworld Resort to earn $\frac{1}{2}$ of the \$400.

A1						
	A	B	C	D	E	F
1	Jun 30	Unearned Service Revenue ($\$400 \times \frac{1}{2}$)	200			
2		Service Revenue		200		
3		<i>To record unearned service revenue that has been earned.</i>				
4						
5						

Unearned Service Revenue			
Jun 30	200	Jun 15	400
		Bal	200

Service Revenue			
			7,000
	Jun 30		300
	Jun 30		200
	Bal		7,500

Deferrals-----Deferred Expense

Prepaid Expenses

An expense paid in advance.

Prepaid expenses are assets because they provide a future benefit for the owner.



Deferrals-----Deferred Expense

Prepaid Rent: Suppose Alladin's Travel Inc., prepays three months' store rent (\$3,000) on June 1.

A1						
	A	B	C	D	E	F
1	Jun 1	Prepaid Rent (\$1,000 × 3)	3,000			
2		Cash		3,000		
3		<i>Paid three months' rent in advance.</i>				
4						

Prepaid Rent	
Jun 1	3,000

Deferrals-----Deferred Expense

Prepaid Rent. Throughout June, Prepaid Rent carries the balance of \$3,000. At June 30, an adjusting entry is required to transfer \$1,000 ($\$3,000 \div 3$) from Prepaid Rent to Rent Expense.

A1						
	A	B	C	D	E	F
1	Jun 30	Rent Expense ($\$3,000 \times 1/3$)	1,000			
2		Prepaid Rent		1,000		
3		<i>To record rent expense.</i>				
4						

Prepaid Rent				Rent Expense			
Jun 1	3,000	Jun 30	1,000	Jun 30	1,000		
Bal	2,000			Bal	1,000		

Deferrals-----Deferred Expense

Supplies. On June 2, Alladin Travel paid cash of \$700 for cleaning supplies.

A1						
	A	B	C	D	E	F
1	Jun 2	Supplies	700			
2		Cash		700		
3		<i>Paid cash for supplies.</i>				
4						

Deferrals-----Deferred Expense

Supplies.

A count at June 30 indicates that \$400 of supplies remain on hand.

A1						
	A	B	C	D	E	F
1	Jun 30	Supplies Expense (\$700 – \$400)	300			
2		Supplies		300		
3		<i>To record supplies expense.</i>				
4						

Supplies				Supplies Expense			
Jun 2	700	Jun 30	300	Jun 30	300		
Bal	400			Bal	300		

Accruals-----Accrued Revenue

Accrued Revenues

- A revenue that has been earned but not yet collected.

Accruals-----Accrued Revenue

Assume that on June 15 a hotel agrees to pay Alladin a commission of \$600 for booking 100 clients into its hotel over the next 30 days. Alladin books 50 clients in June and 50 in July. Alladin will earn half a month's fee, \$300, for work done June 15 through June 30.

A1						
	A	B	C	D	E	F
1	Jun 30	Accounts Receivable ($\$600 \times 1/2$)	300			
2		Service Revenue		300		
3		<i>To accrue service revenue.</i>				
4						

Accounts Receivable		Service Revenue	
	2,200		7,000
Jun 30	300	Jun 30	300
Bal	2,500	Bal	7,300

Accruals-----Accrued Expense

Accrued Expenses

- A liability that arises from an expense that has not yet been paid
- Not recorded daily or weekly, but rather at the end of the period as an adjusting entry

Accruals-----Accrued Expense

Accrued Salary Expense. Suppose Alladin Travel, Inc. pays its employee a monthly salary of \$1,800, half on the 15th and half on the last day of the month. The following calendar for June has the paydays circled:

Assume that if a payday falls on a Sunday, Alladin's pays the employee on the following Monday.

June						
Sun.	Mon.	Tue.	Wed.	Thur.	Fri.	Sat.
						1
2	3	4	5	6	7	8
9	10	11	12	13	14	15
16	17	18	19	20	21	22
23	24	25	26	27	28	29
30						

Accruals-----Accrued Expense

During June, Alladin Travel paid its employee the first half-month salary of \$900.

A1				
	A	B	C	D
1	Jun 15	Salary Expense	900	
2		Cash		900
3		<i>To pay salary.</i>		
4				

Salary Expense	
Jun 15	900

Accruals-----Accrued Expense

The second half-month amount of \$900 will be paid on Monday, July 1. At June 30, therefore, Alladin Travel makes the adjusting entry.

A1						
	A	B	C	D	E	F
1	Jun 30	Salary Expense	900			
2		Salary Payable		900		
3		<i>To accrue salary expense.</i>				
4						

Salary Payable			Salary Expense		
	Jun 30	900	Jun 15	900	
	Bal	900	Jun 30	900	
			Bal	1,800	

Exhibit 3-6 Prepaid and Accrual Adjustments

PREPAIDS—Cash First					
	First			Later	
Prepaid expenses	<i>Pay cash and record an asset:</i>			<i>Record an expense and decrease the asset:</i>	
	Prepaid Expense	XXX		Expense.....	XXX
	Cash.....	XXX		Prepaid Expense	XXX
Unearned revenues	<i>Receive cash and record unearned revenue:</i>			<i>Record revenue and decrease unearned revenue:</i>	
	Cash.....	XXX		Unearned Revenue	XXX
	Unearned Revenue	XXX		Revenue	XXX
ACCRUALS—Cash Later					
	First			Later	
Accrued expenses	<i>Accrue expense and a payable:</i>			<i>Pay cash and decrease the payable:</i>	
	Expense.....	XXX		Payable.....	XXX
	Payable.....	XXX		Cash.....	XXX
Accrued revenues	<i>Accrue revenue and a receivable:</i>			<i>Receive cash and decrease the receivable:</i>	
	Receivable.....	XXX		Cash.....	XXX
	Revenue	XXX		Receivable	XXX

Adjusted Entries--Depreciation

Depreciation of Plant Assets

- Plant assets are long-lived tangible assets, such as land, buildings, furniture, and equipment.
- **Depreciation** is the process of allocating cost to expense for a long-term plant asset.
 - Decline in usefulness
 - Spread the cost of the plant asset over its useful life
 - Exception: **Land** – does not decline in usefulness

Adjusted Entries--Depreciation

Equipment. Suppose that on June 3 Alladin Travel purchased equipment on account for \$24,000

A1						
	A	B	C	D	E	F
1	Jun 3	Equipment	24,000			
2		Accounts Payable		24,000		
3		<i>Purchased equipment on account.</i>				
4						

Equipment	
Jun 3	24,000

Adjusted Entries--Depreciation

Straight-line depreciation method:

- Divide cost of the asset by its useful life
- Alladin Travel Inc. Equipment:

Cost: \$24,000

Useful life: 5 years

$$\text{Annual depreciation} = \frac{24,000}{5} \text{ year} = 4,800 \text{ per year}$$

$$\text{Monthly depreciation} = \frac{4,800}{12} \text{ months} = 400 \text{ per year}$$

Adjusted Entries--Depreciation

Depreciation expense for June is recorded as follows:

A1						
	A	B	C	D	E	F
1	Jun 30	Depreciation Expense—Equipment	400			
2		Accumulated Depreciation—Equipment		400		
3		<i>To record depreciation.</i>				
4						

Accumulated Depreciation—Equipment			Depreciation Expense—Equipment		
	Jun 30	400	Jun 30	400	
	Bal	400	Bal	400	

Adjusted Entries--Depreciation

Accumulated Depreciation

- Shows the sum of all depreciation expense
- The balance increases over the asset's life
- Contra asset account, a normal credit balance.
- A contra account has two distinguishing characteristics:
 - Always has a companion account
 - Normal balance is opposite that of the companion account

Adjusted Entries--Depreciation

Book Value: Cost of the plant asset minus accumulated depreciation

A1					
	A	B	C	D	E
1	Alladin Travel, Inc.				
2	Plant Assets at June 30				
3	Land		\$18,000		
4	Equipment	\$24,000			
5	Less: Accumulated Depreciation	(400)	23,600		
6	Book value of plant assets		\$41,600		
7					

Summary of the Adjusting Process

- Two purposes of the adjusting process are to
 - measure income, and
 - update the balance sheet.
- Therefore, every adjusting entry affects both of the following:
 - Revenue or expense—to measure income
 - Asset or liability—to update the balance sheet

Exhibit 3-7 Summary of Adjusting Entries

Category of Adjusting Entry	Type of Account	
	Debit	Credit
Prepaid expense.....	Expense	Asset
Depreciation.....	Expense	Contra asset
Accrued expense.....	Expense	Liability
Accrued revenue.....	Asset	Revenue
Unearned revenue.....	Liability	Revenue

Income Tax Accrual

Alladin Travel, Inc. would make an additional adjusting entry to accrue income tax expense of \$600 and the related income tax payable as the final adjusting entry of the period.

A1						
	A	B	C	D	E	F
1	Jun 30	Income Tax Expense	600			
2		Income Tax Payable		600		
3		<i>To accrue income tax expense.</i>				
4						

Example: The Adjusting Entries of Alladin Travel, Inc.

PANEL A—Information for Adjustments at June 30, 2016

- (a) Prepaid rent expired, \$1,000.
- (b) Supplies used, \$300.
- (c) Depreciation on equipment, \$400.
- (d) Accrued salary expense, \$900.
- (e) Accrued service revenue, \$300.
- (f) Amount of unearned service revenue that has been earned, \$200.
- (g) Accrued income tax expense, \$600.

PANEL B—Adjusting Entries

(a) Rent Expense	1,000	
Prepaid Rent		1,000
<i>To record rent expense.</i>		
(b) Supplies Expense	300	
Supplies		300
<i>To record supplies used.</i>		
(c) Depreciation Expense—Equipment	400	
Accumulated Depreciation—Equipment		400
<i>To record depreciation.</i>		
(d) Salary Expense	900	
Salary Payable		900
<i>To accrue salary expense.</i>		
(e) Accounts Receivable	300	
Service Revenue		300
<i>To accrue service revenue.</i>		
(f) Unearned Service Revenue	200	
Service Revenue		200
<i>To record unearned revenue that has been earned.</i>		
(g) Income Tax Expense	600	
Income Tax Payable		600
<i>To accrue income tax expense.</i>		

Example: Posting adjusting entries to Ledger

Assets		Liabilities		Stockholders' Equity	
Cash		Accounts Payable		Common Stock	
Bal 36,800			Bal 13,100		Bal 50,000
Accounts Receivable		Salary Payable		Retained Earnings	
2,200			(d) 900		Bal 18,800
(e) 300			Bal 900		
Bal 2,500		Unearned Service Revenue		Dividends	
		(f) 200	400	Bal 3,200	
			Bal 200		
Supplies		Income Tax Payable		Expenses	
700	(b) 300		(g) 600	Rent Expense	
Bal 400			Bal 600	(a) 1,000	
				Bal 1,000	
Prepaid Rent				Salary Expense	
3,000	(a) 1,000			900	
Bal 2,000				(d) 900	
				Bal 1,800	
Land				Supplies Expense	
Bal 18,000				(b) 300	
				Bal 300	
Equipment				Depreciation Expense—Equipment	
Bal 24,000				(c) 400	
				Bal 400	
Accumulated Depreciation—Equipment				Utilities Expense	
	(c) 400			Bal 500	
	Bal 400			Income Tax Expense	
				(g) 600	
				Bal 600	
				Revenue	
				Service Revenue	
					7,000
				(e) 300	
				(f) 200	
				Bal 7,500	

Adjusted Trial Balance

The Adjusted Trial Balance

Summarizes all accounts and their final balances after all adjusting entries have been journalized and posted



Trial Balance Worksheet

A1							
A							
Alladin Travel, Inc. Trial Balance Worksheet June 30, 2016							
		Trial Balance		Adjustments		Adjusted Trial Balance	
Account Title		Debit	Credit	Debit	Credit	Debit	Credit
Cash		36,800				36,800	
Accounts receivable		2,200		(e) 300		2,500	
Supplies		700			(b) 300	400	
Prepaid rent		3,000			(a) 1,000	2,000	
Land		18,000				18,000	
Equipment		24,000				24,000	
Accumulated depreciation-equipment					(c) 400		400
Accounts payable			13,100				13,100
Salary payable					(d) 900		900
Unearned service revenue			400	(f) 200			200
Income tax payable					(g) 600		600
Common stock			50,000				50,000
Retained earnings			18,800				18,800
Dividends		3,200				3,200	
Service revenue			7,000		(e) 300		7,500
					(f) 200		
Rent expense				(a) 1,000		1,000	
Salary expense		900		(d) 900		1,800	
Supplies expense				(b) 300		300	
Depreciation expense-equipment				(c) 400		400	
Utilities expense		500				500	
Income tax expense				(g) 600		600	
Totals		89,300	89,300	3,700	3,700	91,500	91,500

Balance sheet
(Exhibit 3-12)

Statement of retained
earnings (Exhibit 3-11)

Income statement
(Exhibit 3-10)

Construct the Financial Statements

The June financial statements of Alladin Travel, Inc. can be prepared from the adjusted trial balance.



Exhibit 3-10 Income Statement

A1					
	A	B	C	D	E
1	Alladin Travel, Inc.				
	Income Statement				
	Month ended June 30, 2016				
2	Revenue:				
3	Service revenue		\$7,500		
4	Expenses:				
5	Salary expense	\$1,800			
6	Rent expense	1,000			
7	Utilities expense	500			
8	Depreciation expense—equipment	400			
9	Supplies expenses	300	4,000		
10	Income before tax		3,500		
11	Income tax expense		600		
12	Net income		\$2,900		
13					

Exhibit 3-11 Statement of Retained Earnings

A1					
	A	B	C	D	E
	Alladin Travel, Inc.				
	Statement of Retained Earnings				
	Month ended June 30, 2016				
1					
2	Retained earnings, May 31, 2016	\$18,800			
3	Add: Net income	2,900			
4	Subtotal	21,700			
5	Less: Dividends declared	(3,200)			
6	Retained earnings, June 30, 2016	\$18,500			
7					

Exhibit 3-12 Balance Sheet

A1						
	A	B	C	D	E	F
1	Alladin Travel, Inc.					
2	Balance Sheet					
3	June 30, 2016					
4	Assets			Liabilities		
5	Cash		\$36,800	Accounts payable	\$13,100	
6	Accounts receivable		2,500	Salary payable	900	
7	Supplies		400	Unearned service revenue	200	
8	Prepaid rent		2,000	Income tax payable	600	
9	Land	\$18,000		Total liabilities	14,800	
10	Equipment	24,000				
11	Less: Accumulated depreciation	(400)	41,600	Stockholders' Equity		
12				Common stock	50,000	
13				Retained earnings	18,500	
14				Total stockholders' equity	68,500	
15				Total liabilities and stockholders' equity	\$83,300	
16	Total assets		\$83,300			
17						

Close the Books

- Prepares the accounts for the next period
- Close **temporary accounts**: accounts related to a limited period of time
 - Revenues
 - Expenses
 - Dividends
- Do **NOT** close **permanent accounts**
 - Assets
 - Liabilities
 - Stockholders' equity

Close the Books

Steps to close the books:

1. Debit each revenue for the amount of its credit balance. Credit Retained Earnings for the sum of all revenues.
2. Credit each expense account for the amount of its debit balance. Debit Retained Earnings for the sum of all expenses.
3. Credit the Dividends account for the amount of its debit balance. Debit Retained Earnings for the same amount.

Exhibit 3-13 Journalizing and Posting the Closing Entries

A—Journalizing the Closing Entries

Page 5

Closing Entries			
①	Jun 30	Service Revenue.....	7,500
		Retained Earnings	7,500
②	30	Retained Earnings	4,600
		Rent Expense	1,000
		Salary Expense	1,800
		Supplies Expense	300
		Depreciation Expense—Equipment	400
		Utilities Expense.....	500
		Income Tax Expense	600
③	30	Retained Earnings	3,200
		Dividends	3,200

Exhibit 3-13 Journalizing and Posting the Closing Entries

Rent Expense				Service Revenue			
Adj	1,000					7,000	
Bal	1,000	Clo	1,000		Adj	300	
					Adj	200	
				Clo	7,500	Bal	7,500
Salary Expense							
	900						
Adj	900						
Bal	1,800	Clo	1,800				
Supplies Expense							
Adj	300						
Bal	300	Clo	300				
Depreciation Expense—Equipment							
Adj	400						
Bal	400	Clo	400				
Utilities Expense							
	500						
Bal	500	Clo	500				
Income Tax Expense							
Adj	600						
Bal	600	Clo	600				

Close the Books (3 of 3)

Retained Earnings			
		Beginning balance	18,800
Expenses	4,600	Revenues	7,500
Dividends	3,200		
		Ending balance	18,500

Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 3 learning materials. You may complete this anytime during week 3, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.